

SENATE/HOUSE FILE _____
BY (PROPOSED DEPARTMENT OF
ADMINISTRATIVE SERVICES
BILL)

A BILL FOR

1 An Act relating to indirect costs charged to state-funded
2 grants, and including applicability provisions.
3 BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

1 Section 1. NEW SECTION. 8.13 Uniform limit on indirect
2 costs charged to state-funded grants.

3 1. *Purpose.* The purpose of this section is to establish
4 a uniform statewide limit on indirect costs charged to
5 state-funded grants to ensure that public moneys are directed
6 primarily to program services and deliverables, to promote
7 transparency, and to provide consistent administration across
8 departments and establishments.

9 2. *Definitions.* As used in this section, unless the context
10 otherwise requires:

11 a. "*Direct cost*" means a cost that can be identified with
12 or directly assigned to a particular final cost objective,
13 program, project, or activity with a high degree of accuracy.
14 "*Direct cost*" includes but is not limited to salaries and
15 wages of personnel working on the program, associated fringe
16 benefits, program supplies and materials, program-specific
17 equipment, program-required participant insurance, travel
18 necessary for program objectives, program-required participant
19 support costs, and programmatic subawards.

20 b. "*Grant*" means a state-funded monetary award provided
21 by a department or establishment for the purpose of carrying
22 out a public program, project, or service, whether provided
23 through contract, grant agreement, cooperative agreement, or
24 other funding instrument. "*Grant*" does not include a loan,
25 tax expenditure, or procurement contract for goods or routine
26 services purchased for the state's direct use.

27 c. "*Grantee*" means a recipient of a grant, including but not
28 limited to a nonprofit organization, local government, tribal
29 government, public or private institution of higher education,
30 or for-profit entity.

31 d. "*Indirect cost*" means a cost that is incurred for
32 a common or joint objective and cannot be identified with
33 a particular final cost objective, program, project, or
34 activity without disproportionate effort. "*Indirect cost*"
35 includes but is not limited to the allocable portion of

1 general administration and general expenses such as executive
2 management, accounting, auditing, budgeting, human resources,
3 procurement, payroll, insurance, utilities for general
4 administrative space, depreciation or use allowances on
5 buildings and equipment used for general administration,
6 facility operation and maintenance for general administrative
7 space, and information technology services supporting general
8 administrative functions.

9 *e. "Total grant amount"* means the total dollar amount of
10 state moneys obligated to the grantee under a grant, as stated
11 in the fully executed grant or funding agreement, inclusive of
12 all budget categories and any amendments.

13 3. *Indirect cost cap.*

14 *a.* The aggregate amount of all indirect costs charged to a
15 grant shall not exceed five percent of the total grant amount.

16 *b.* A department or establishment shall not approve a
17 budget or reimbursement request that would cause a grantee's
18 cumulative indirect costs to exceed five percent of the total
19 grant amount.

20 *c.* A grantee shall not do any of the following:

21 (1) Reclassify an indirect cost as a direct cost for the
22 purpose of circumventing the cap imposed under this subsection.

23 (2) Charge an indirect cost on top of a direct cost that
24 includes an allocable share of indirect costs.

25 *d.* A department or establishment shall not waive the cap
26 imposed under this subsection unless expressly authorized by
27 law that references and exempts the grant from this subsection.

28 4. *Budgeting and documentation.*

29 *a.* Each grant budget must separately identify indirect
30 costs and direct costs. The budget narrative must describe the
31 basis for the grantee's indirect cost calculation and certify
32 compliance with the cap imposed under this section.

33 *b.* A grantee shall maintain records sufficient to
34 substantiate all indirect costs charged to a grant, including
35 the methodology used to allocate indirect costs across funding

1 sources, and shall retain the records for at least ten years
2 after final payment or closeout, or longer if required by the
3 grant agreement.

4 *c.* If a grantee allocates indirect costs across multiple
5 funding sources, the allocation methodology must be reasonable,
6 consistently applied, and compliant with generally accepted
7 cost allocation principles. The grantee shall document
8 the methodology and make it available to the department or
9 establishment awarding the grant upon request.

10 5. *Administration and oversight.*

11 *a.* A department or establishment shall incorporate the
12 requirements of this section into each grant solicitation and
13 agreement.

14 *b.* A department or establishment shall review a proposed
15 grant budget for compliance with this section prior to awarding
16 the grant and shall monitor indirect costs charged during the
17 grant period.

18 *c.* A department or establishment shall implement controls
19 to prevent payment of indirect costs in excess of the cap
20 imposed under this section, including rejection or adjustment
21 of an invoice or reimbursement request that would exceed the
22 allowable maximum.

23 *d.* The department of management shall adopt rules pursuant
24 to chapter 17A to implement and administer this section. The
25 office of grants enterprise management of the department of
26 management shall issue implementation guidance, including
27 standardized definitions, examples, and sample budget
28 templates, to promote uniform application of this section.

29 6. *Remedies.*

30 *a.* Indirect costs charged in excess of the cap imposed under
31 this section are disallowed.

32 *b.* A department or establishment shall recover any amounts
33 paid for disallowed indirect costs through offsets against
34 future payments under the grant, repayment by the grantee, or
35 other means provided in the grant agreement and applicable law.

1 c. As a condition of continued funding, a department or
2 establishment may require a grantee that exceeds the cap
3 imposed under this section to implement a corrective action
4 plan and revised allocation methodology to ensure future
5 compliance.

6 7. *Lower cap authorized.* A department or establishment may
7 adopt a stricter limit on indirect costs than established in
8 this section for particular grants if authorized by law or if
9 necessary or desirable based on funding conditions, provided
10 such limit is stated in the grant solicitation and agreement.

11 8. *Federal moneys.* To the extent a grant includes federal
12 moneys that contain explicit requirements concerning indirect
13 costs, the federal requirement applies to the portion of the
14 grant funded with federal moneys.

15 Sec. 2. APPLICABILITY. This Act applies to grants
16 awarded or amended on or after July 1, 2026. A department or
17 establishment, as defined in section 8.2, shall, to the extent
18 practicable, modify an existing grant upon amendment to conform
19 to this Act.

EXPLANATION

21 The inclusion of this explanation does not constitute agreement with
22 the explanation's substance by the members of the general assembly.

23 This bill provides that indirect costs, as defined in the
24 bill, charged to a state-funded grant awarded or amended on
25 or after July 1, 2026, must not exceed 5 percent of the total
26 grant amount and prohibits a department or establishment from
27 approving a budget or reimbursement request that would exceed
28 that limit unless expressly authorized by law. A grantee is
29 prohibited from reclassifying an indirect cost as a direct cost
30 and from charging an indirect cost on top of a direct cost that
31 includes an allocable share of indirect costs. For purposes of
32 Code chapter 8, a department or establishment is an executive
33 department, commission, board, institution, bureau, office,
34 or other agency of state government, that uses, expends, or
35 receives any government funds, excluding the courts and the

1 general assembly.

2 A grant budget must list indirect costs and direct costs
3 separately and a budget narrative must explain the basis for
4 the indirect cost calculation. A grantee must maintain records
5 related to indirect costs for a minimum of 10 years. An
6 allocation method that allocates indirect costs across multiple
7 funding sources must be reasonable, consistent, and compliant
8 with generally accepted cost allocation principles. The
9 methodology must be documented and provided to the department
10 or establishment upon request.

11 The bill requires a department or establishment to
12 incorporate the provisions of the bill into each grant
13 solicitation and agreement, ensure grant budgets are compliant,
14 and implement controls to prevent payment of indirect costs in
15 excess of the cap. The department of management (DOM) must
16 adopt rules to implement the bill and DOM's office of grants
17 enterprise management must issue implementation guidance to
18 promote uniform application of the bill.

19 The bill requires a department or establishment to recover
20 amounts paid for disallowed indirect costs through offsets
21 against future payments under the grant, repayment by the
22 grantee, or other means provided in the grant agreement and
23 applicable law. A department or establishment may require a
24 grantee that exceeds the cap to implement a corrective action
25 plan and revised allocation methodology.

26 The bill authorizes a department or establishment to adopt
27 a lower cap on indirect costs under certain circumstances if
28 the cap is stated in the grant solicitation and agreement. The
29 bill's provisions do not supplant federal requirements for
30 federal moneys included in a grant.